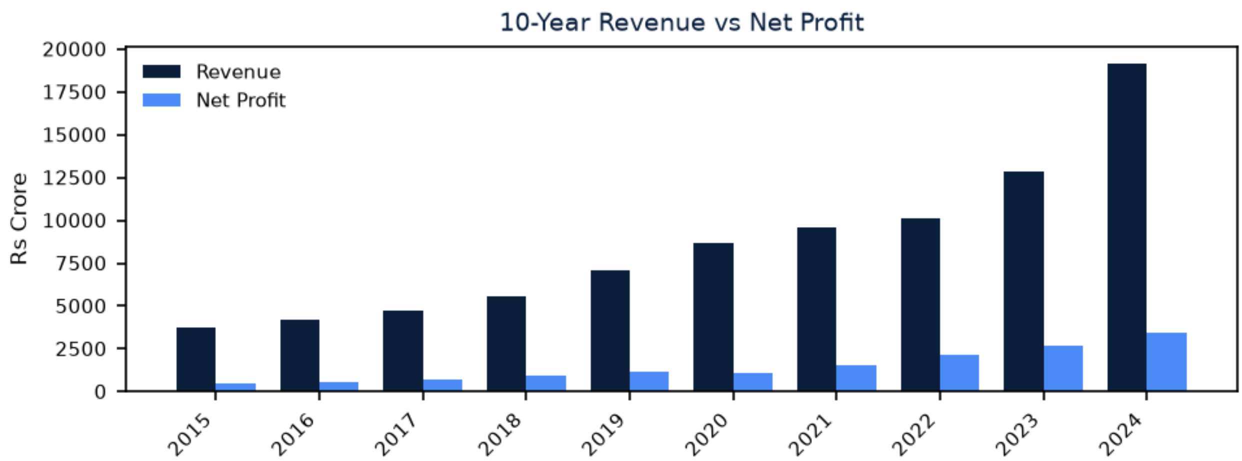
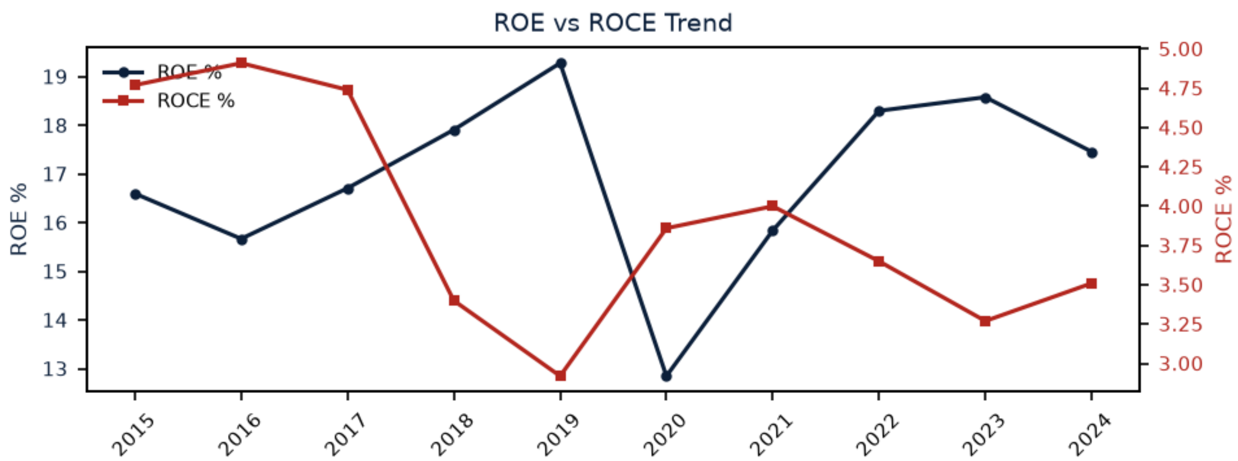
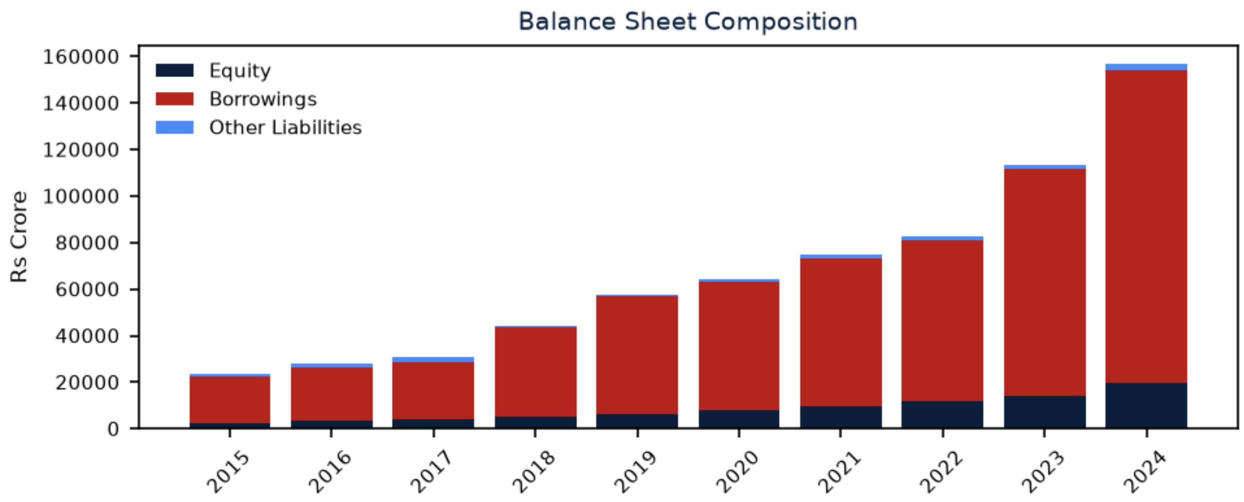
Cholamandalam Investment & Finance Company Ltd

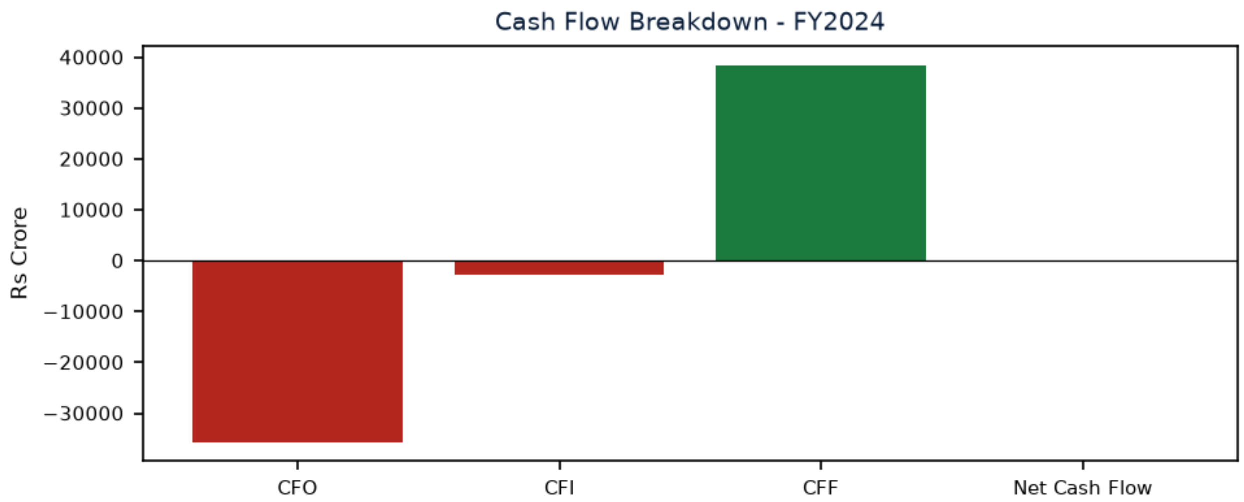
CHOLAFIN

17.5% ROE	**3.5%** ROCE	**6.9x** D/E
28.1% OPM	**21.9%** Revenue CAGR 5yr	**23.4%** PAT CAGR 5yr









Pros

+ Very high interest coverage ratio reflects negligible financial stress from debt servicing
+ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
+ Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
+ Operating profit margin above 25% indicates strong pricing power and cost discipline
+ Net profit compounding at above 20% over 5 years creates significant shareholder value
+ Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation Pattern

Growth Funded by Debt